FINANCIAL ACCOUNTING

ELEVENTH EDITION

Chapter 2

Financial statements for decision making

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Learning objectives

After studying this presentation, you should be able to:

2.1 identify the common types of business entities

2.2 discuss the functions carried out by managers

2.3 outline the basic financial statements used in business to report to users for decision-making purposes

2.4 explain the main assumptions made and the characteristics of information to be used in the preparation of financial statements

Learning objectives

2.5 analyse the effects of business transactions on the accounting equation and on financial statements.

Types of business entities

- **Single proprietorship or sole trader:**
  - owned by one person
  - simple to set up
  - common form of business structure
  - separate accounting entity.
- **Partnership:**
  - owned by two or more partners
  - simple to set up
  - separate accounting entity, not separate legal entity.

Types of business entities

- **Company or corporation:**
  - owned by **shareholders**
  - separate accounting entity
  - separate *legal* entity
  - known as **limited liability**.

Management functions

- An organisation is defined as a group of people who share common goals with a well-defined division of labour.
- All decision-making responsibilities for such functions as purchasing, selling, performing services, accounting and financing rest with the individual owner-manager.
- Consequently, the role of management becomes increasingly important.

Management functions

- **Role of managers:**
  - Every business entity is to achieve satisfactory performance.
  - Developing a good reputation ultimately attracts strong customer support for the business's products and services.

Management functions

- **Role of managers:**
  - Management decision process:
    - planning
    - organising
    - directing
    - controlling.

Management functions

- **Role of managers:**
  - Management functions:

Basic financial statements

- What information do users want/need?
  - **Financial performance:**
    - The ability of the entity to utilise its assets effectively and efficiently.
    - What are the business goals (i.e. profit/nor for profit)?

Basic financial statements

- What information do users want/need?
  - **Financial position:**
    - The financial resources controlled by the entity.
    - Financial structure.
    - Measure of liquidity and solvency.

Basic financial statements

- The ability of the entity to generate **cash flow**, focusing on three areas:

1. **Operating activities:**
   - The provision of and payment for goods and services.
2. **Investing activities:**
   - The acquisition and disposal of long term assets.

Basic financial statements

- The ability of the entity to generate **cash flow**, focusing on three areas:

3. **Financing activities:**
   - The raising of funds for an entity to carry out its operating and investing activities.

Basic financial statements

- **The statement of financial position(balance sheet):**
  - Reports financial position of an entity at a specific point in time.
  - Shows assets, liabilities and equity of the entity.
  - Represents the **accounting equation:**
    - **Assets = Liabilities + Equity**
- **Alternative formats:**
  - account format
  - narrative format.

Basic financial statements

- **Balance sheet:**
  - Accounting equation.
    - Same equation, different format.

A = L + Eq = **Account format**

A – L = Eq = **Narrative format**

(Assets-Liabilities=Net Assets= Equity)

Basic financial statements

- **Statement of financial position (account format):**

MINH'S TV REPAIRS
Statement of financial position
as at 30 June 2021

ASSETS		LIABILITIES	
Cash at bank	$ 25 170	Accounts payable	$ 10 380
Accounts receivable	8 895	Mortgage payable	100 500
Repair supplies	7 305		110 880
Repair equipment	55 350		
Land	30 000	EQUITY	
Building	127 500	Minh Vu, capital	143 340
	$254 220		$254 220

Basic financial statements

- **Statement of financial position (narrative format):**

MINH'S TV REPAIRS **Statement of financial position** as at 30 June 2021	
Assets	
Cash at bank	$ 25 170
Accounts receivable	8 895
Repair supplies	7 305
Repair equipment	55 350
Land	30 000
Building	127 500
Total assets	254 220
Liabilities	
Accounts payable	10 380
Mortgage payable	100 500
Total liabilities	110 880
Net assets	**$143 340**
Equity	
Minh Vu, capital	$143 340
Total equity	**$143 340**

Basic financial statements

- **Statement of financial position:**
  - **Assets:**
    - Present economic resources controlled by the entity
    - result of past events
    - Economic resource is a right that has the potential to produce economic benefits

Basic financial statements

- **Statement of financial position:**
  - **Liabilities:**
    - present obligations of an entity
    - arising from past transactions or events
    - settlement is expected to result in an outflow of resources from the entity.

Basic financial statements

- **Statement of financial position**
  - **Equity:**
    - The residual interest of the owner/s in the assets (less liabilities) of the entity:

Assets – Liabilities = Equity
or
Net assets = Equity

    - Sometimes called capital or accumulated surplus/funds.

Basic financial statements

- **The statement of financial performance(Income statement):**
  - Reports financial performance over a specific time period (e.g. month, year, etc.).
  - Shows income and expenses:
    - **Income > Expenses = Profit**
    - **Income < Expenses = Loss**
  - Sometimes called Profit or Loss statement or Operating Statement.

Basic financial statements

- **Statement of financial performance:**

MINH'S TV REPAIRS **Statement of financial performance** for the year ended 30 June 2021		
Income		
Repair income		$221 250
Expenses		
Advertising expense	$10 125	
Repair supplies expense	45 855	
Salaries and wages expense	63 900	
Rent expense	20 130	
Telephone expense	10 095	
Light and power expense	23 970	
		174 075
Profit		**$ 47 175**

Basic financial statements

- **Statement of financial performance:**
  - **Income:**
    - increases in economic benefits
    - inflows or enhancements of assets
    - decreases of liabilities
    - results in equity
    - separate to those relating to equity participants.

Basic financial statements

- **Statement of financial performance:**
  - **Expenses:**
    - decreases in economic benefits
    - outflows or incurrences of liabilities
    - result in decreases in equity
    - separate to those relating to equity participants.

Basic financial statements

- **Statement of changes in equity:**

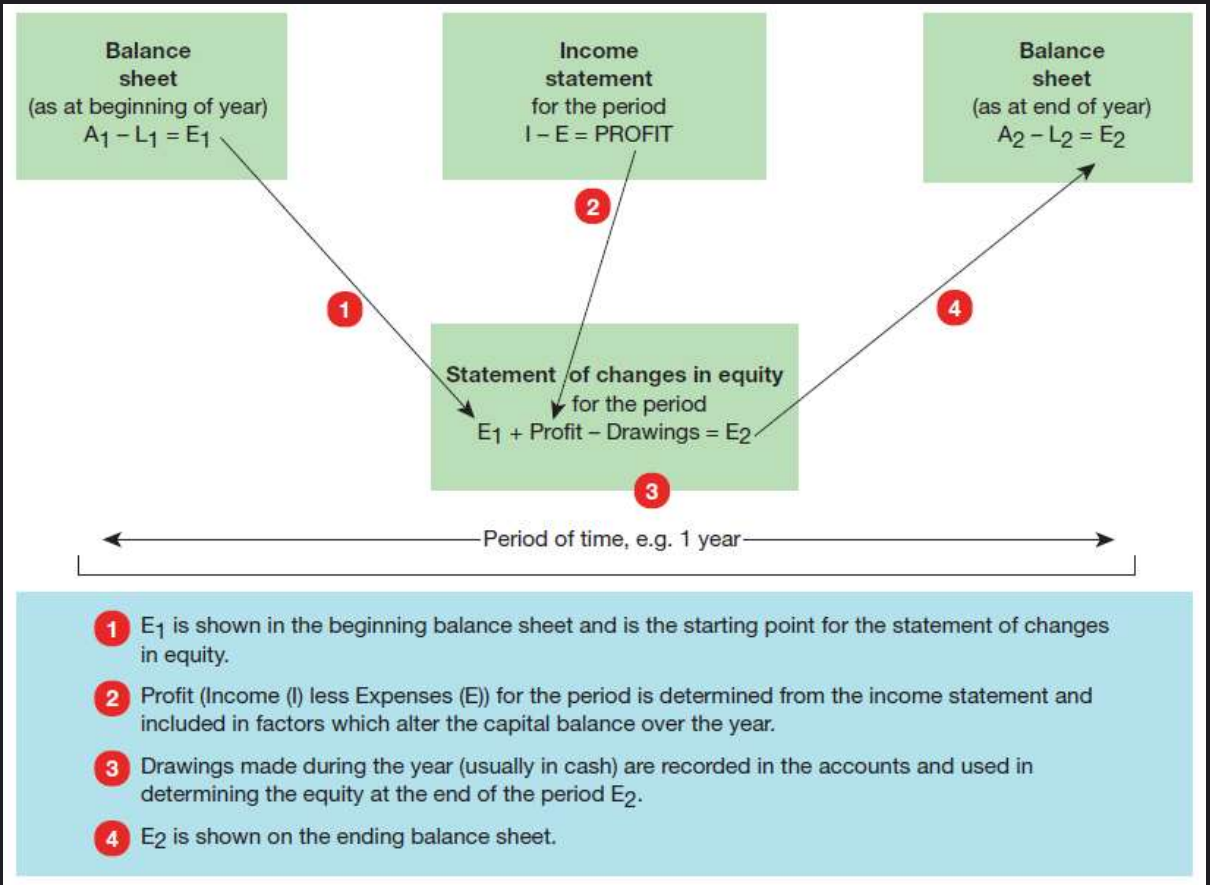
MINH'S TV REPAIRS **Statement of changes in equity** for the year ended 30 June 2021	
Minh Vu, capital — 1 July 2020	$118 665
Add: Profit for the year	47 175
	165 840
Less: Drawings	22 500
Minh Vu, capital — 30 June 2021	**$ 143 340**

Basic financial statements

- **The statement of cash flows:**
  - Reports on the cash inflows and outflows of the entity.
    - Statement of financial performance reports on income earned and expenses incurred.
  - Useful in:
    - helping users to assess the sources and applications of cash
    - the ability of the entity to remain solvent.

Basic financial statements

- **Financial statements relationship:**



Basic financial statements

- **Statement of cash flows:**

MINH'S TV REPAIRS **Statement of cash flows** for the year ended 30 June 2021		
Cash flows from operating activities		
Cash received from customers	$212 355	
Cash paid to suppliers and employees	(171 000)	
Net cash from operating activities		$ 41 355
Cash flows from investing activities		
Purchase of land and buildings	(157 500)	
Purchase of repair equipment	(55 350)	
Net cash used in investing activities		(212 850)
Cash flows from financing activities		
Amount borrowed under mortgage	100 500	
Investment by owner	118 665	
Drawings by owner	(22 500)	
Net cash from financing activities		196 665
Net increase (decrease) in cash held		25 170
Cash at beginning of year		—
Cash at end of year		**$ 25 170**

Assumptions made and characteristics of information

- **Accounting entity assumption:**
  - Identify clearly the boundaries of the entity being accounted for.
  - Personal transactions of the owner must remain separate from the transactions of the entity.
  - It is assumed that each entity controls its assets and incurs its liabilities.

Assumptions made and characteristics of information

- **Accrual basis assumption:**
  - Accounting is an **event** driven process.
  - The effects of transactions are recognised when they occur, not when the cash is received/paid.
  - It is argued in the *Framework*:
    - the accrual basis provides information about the transactions and other events.
    - The information is most useful for decision making by both internal and external users.

Assumptions made and characteristics of information

- **Going concern assumption**
  - Assume an entity will continue to operate in the future.
  - Unless there is evidence to the contrary.
  - Liquidation values (prices in a forced sale) of the entity's assets are not generally reported.

Assumptions made and characteristics of information

- **The reporting period:**
  - The life of the entity can be ‘broken up’ into equal time intervals.
  - Profit is determined for particular periods of time in order to be comparable.
  - This division of the life of the entity into equal time intervals is known as the **reporting period.**

Assumptions made and characteristics of information

- **Fundamental qualitative characteristics:**
  - **Relevance:**
    - information is useful for decision making
    - can influence economic decisions by users.
  - **Faithful representation:**
    - information presented faithfully, without bias or undue error
    - **economic substance** over form.

Assumptions made and characteristics of information

- Enhancing qualitative characteristics:
  - **Comparability and consistency:**
    - Users can identify similarities and differences between two sets of economic data.
  - **Verifiability:**
    - Different, independent observers can reach consensus that information faithfully represents what it claims to.

Assumptions made and characteristics of information

- Enhancing qualitative characteristics:
  - **Timeliness**
    - Desirable that users have access to timely information for decision making
  - **Understandability:**
    - Expect a reasonable knowledge of business and economic activity and financial accounting.
    - Study the information with reasonable diligence.

Assumptions made and characteristics of information

- The concept of materiality:
  - **Materiality:**
    - The extent to which omission or misstatement would be misleading to users.
    - Needs to be considered in determining if the information is relevant.
      - This can vary from entity to entity.

Assumptions made and characteristics of information

- **Cost constraints:**
  - Benefits of providing information must justify cost of providing and using it.
  - The benefits of financial reporting information include:
    - better investment
    - credit and similar economic decisions.

The effects of transactions on the accounting equation and financial statements

Assets = Liabilities + Equity

- The accounting equation **always** balances.
- Transactions result in changes in assets, liabilities and owners equity.
- Elements of the accounting equation change with each transaction, but equality of accounting equation remains unchanged.
- This can be demonstrated by looking at the first 3 transactions from the example in the text.

The effects of transactions on the accounting equation and financial statements

- **Example:**
  1. Cynthia Jones deposits $53000 in a business bank account.

	Assets	=	Liabilities	+	Equity
	Cash at Bank				Cynthia Jones, Capital
(1)	$53 000	=			$53 000

The effects of transactions on the accounting equation and financial statements

- **Example:**
  2. Cynthia purchases a van for $32000 and massage and manicuring tables for $6000.

	Assets						=	Liabilities	+	Equity
	Cash at Bank	+	Massage and manicure tables	+	Van		=			Cynthia Jones, Capital
(1)	$53 000						=			$53 000
(2)	−38 000		+6 000		+32 000					
	15 000	+	6 000	+	32 000		=			53 000
			$53 000							

The effects of transactions on the accounting equation and financial statements

- **Example:**

3. Cynthia purchases nail supplies for $2500 on credit.

	Assets								=	Liabilities	+	Equity
	Cash at Bank	+	Massage and manicure tables	+	Van	+	Nail Supplies	=		Accounts Payable	+	Cynthia Jones, Capital
(1)	$53 000							=				$53 000
(2)	−38 000		+6 000		+32 000							
	15 000	+	6 000	+	32 000			=				53 000
(3)							+2 500			+2 500		
	15 000	+	6 000	+	32 000	+	2 500	=		2 500	+	53 000
	$55 500									$55 500		

The effects of transactions on the accounting equation and financial statements

- **Key points from example:**
  - Every transaction affects at least **two** components of the equation.
  - This gives rise to the term **double-entry accounting**.
  - After each transaction is recorded the accounting equation **must** remain balanced.

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Summary

- Common types of business entities.
- Functions carried out by managers.
- Basic financial statements used in business to report to users for decision-making purposes.
- Main assumptions made and the characteristics of information to be used in the preparation of financial statements.
- Effects of business transactions on the accounting equation and on financial statements.

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